## Securities Transaction Tax (STT)

It was introduced in 2004–5. It is a tax imposed on transactions of Securities in Stock Exchanges.

## Commodities Transaction Tax

It is a tax on the sale of commodities in Commodity Exchanges. It was introduced in 2013–14.

## Minimum Alternate Tax (MAT)

It is a tax imposed on companies, which escaped corporate tax net or pay very low tax by using the provisions of exemptions, deductions, Incentives, etc., which are called Zero tax companies. It was introduced in 1996 – 97. In case, total income of the company after availing all eligible deductions is less than 30 per cent of the book profits, the company shall be charged to a minimum tax as a percentage of total income. This is to ensure that companies pay at least a minimum amount of tax.

The same kind of tax imposed on commercial establishment, other than companies, like partnership firms, limited liability partnership firms, etc. is called **Alternate Minimum Tax (AMT).**

There are no separate taxes called MAT and AMT. These are special provisions in Income Tax Act to levy tax at special rates.

### 2. Indirect Tax

If impact is on one point and incidence on some other point, it is called indirect tax. e.g. excise duty – levied on producer, but ultimately paid by consumer along with price.

Irrespective of spending capacity and purchasing power of people usually all were charged an equal percentage of tax. It is well known